Human Resources Planning

Questions

1. "If tomorrow all the teachers of this college suddenly go on leave, can the college function?“
2. "What happens if there are 100 teachers but only 10 students?“
3. "What if there are only 5 teachers for 3000 students?“

"So, every organisation needs the **right number of people, with the right skills, at the right place, at the right time.** This is called **Human Resource Planning.**"

Introduction

Every organisation depends on people.

Money cannot work alone.

Machines cannot work alone.

Buildings cannot work alone.

It is people who make an organisation successful.

Therefore, before recruiting employees, every organisation must answer:

- How many employees are needed?
- What type of employees are needed?
- When are they needed?
- Where are they needed?

The answer is **Human Resource Planning (HRP).**

Meaning of Human Resource Planning

Human Resource Planning is also known as

- **Manpower Planning**
- **Employment Planning**
- **Personnel Planning**

Definition

According to E.W. Vetter

"Human Resource Planning is the process by which management determines how an organisation should move from its current manpower position to its desired manpower position."

Simple Definition

Human Resource Planning means **estimating the future requirement of employees and making plans to meet those requirements.**

Example

Imagine you are opening a restaurant.

Before opening, you must decide:

- How many cooks?
- How many waiters?
- Cashier?
- Manager?
- Cleaner?

If you recruit too many employees, salaries increase unnecessarily.

If you recruit too few employees, customers become unhappy.

Therefore planning is necessary.

Memory Formula

HRP means

- ✓**Right Person**
- ✓**Right Job**
- ✓**Right Place**
- ✓**Right Time**
- ✓**Right Cost**

Objectives of HRP

Human Resource Planning aims to

1. Ensure adequate manpower
2. Avoid shortage of employees
3. Avoid surplus employees
4. Improve productivity
5. Reduce labour cost
6. Support organisational growth
7. Prepare for future expansion
8. Develop employee skills

Importance of HRP

1. **Ensures Availability of Employees** - The organisation gets qualified employees whenever needed.

2. **Reduces Labour Cost -** Avoids unnecessary recruitment.

3. **Supports Business Expansion -** When opening new branches, HRP ensures manpower availability.

4. **Improves Productivity -** Right employee performs the right work.

5. **Helps in Training -** Future skill requirements are identified.

6. **Reduces Employee Turnover -** Replacement planning becomes easier.

Issues in Human Resource Planning

1. Changing Technology - New technology changes skill requirements.

Example: AI replacing repetitive office work.

2. Employee Turnover - Employees may resign unexpectedly.

3. Economic Conditions - Recession reduces hiring, Economic growth increases hiring.

4. Government Policies - Reservation policies, Labour laws, Minimum wage, Working hours

5. Population Changes - Availability of skilled employees varies

6. Organisational Growth - Expansion increases manpower needs

Challenges of HRP

1. Uncertain Business Environment

Example - COVID-19 changed hiring everywhere

2. Rapid Technological Changes - Employees need continuous upskilling.

3. Skill Gap - Many graduates have degrees but lack employability skills.

4. Global Competition - Companies compete for talented employees.

5. Employee Migration - Talented employees move to better organisations.

6. Workforce Diversity - Managing employees of different (age, gender, culture, language)